

Money Mistake: You Don't Know When to Start Investing

THE FIX: START WHEN YOU'RE DEBT-FREE

Ideally, you'll start investing as soon as possible and steadily ever after. Most people who have compound-interest charts tattooed inside their eyelids are not shocked to learn that \$10,000 invested in their twenties will be worth \$58,000 at age sixty-five, assuming a 4 percent compounded interest rate. What's shocking is that so many young people don't take advantage of that. But how many twenty-three-year-olds are truly in a position to put away that kind of money? Not many. So here's a simple rule: Start investing when you're free of consumer debt. No matter what age that is, when you're no longer servicing a student loan, or paying down credit cards, or making car payments, start investing your money. How much? Start with the amount you used to funnel toward that debt. The trick is not to incur any more consumer debt so that the flow of funds into your investments isn't interrupted once you make that commitment. No matter how old you are, the day you start investing is the day you've decided to take control of your future. I don't care if this happens when you're fifty-two years old.

Money Mistake: You Don't Know What to Invest In

THE FIX: KEEP IT SIMPLE

The first question is simple: Should I invest in stocks, mutual funds, or bonds? The answer is also simple: yes. The specifics vary from person to person, but the core of my own investment philosophy stemmed from watching my mother grow her own considerable nest egg with a consistent amount of money, very little effort, and a lot of discipline. She had three basic rules:

1. Never invest in a security or stock that doesn't pay a dividend or interest.